

The TJX Companies, Inc. (TJX) — Valuation, Forecast & Positioning

A single-stock deep dive on the world's largest off-price retailer: where a counter-cyclical, treasure-hunt inventory flywheel should trade, what drives it, who it competes with, and where the price could go — with the closeout-supply pipeline as the swing factor.

Ticker TJX Sector Consumer Discretionary As of 2026-07-15 · \$150.97 ROIC 31.8% vs WACC ~8%
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Governance & guardrails. Research only — **not investment advice** (Ethics 3.30). Valuation is mechanical peer arithmetic; forecasts are scenario anchors with wide, partly unquantified uncertainty. Data via yfinance; historical multiples reconstructed from annual statements. Forecast on a near-random-walk series (ADF $p \approx 0.977$); Monte Carlo embeds recovery-period drift. Qualitative sections reflect analyst knowledge and must be re-verified.

EXECUTIVE BRIEF

TJX is a genuine, serial value creator — 31.8% ROIC against an ~8.5% cost of capital, a ~23-point spread that puts it in the top tier of all retail. That quality is why the market pays up, and at ~\$151 the stock trades essentially in line with what its off-price and home-furnishings peers imply (blended fair value ~\$154-155), so this is not a cheapness call — it's an own-the-compounder call. The off-price model is winning share from department stores, the trade-down/excess-inventory backdrop is a live tailwind, and unusually the technicals are cool (RSI 39.6, price ~10% off its high) rather than stretched. The debate is valuation discipline: at ~26x forward earnings there is little margin of safety, and the peer-driven ADL nudges slightly lower while the Monte-Carlo drift and ETS trend

point higher. High-quality flywheel, fair price, momentum-vs-mean-reversion tension.

- A best-in-class value creator: ROIC of 31.8% sits ~23 points above the ~8.5% cost of capital — essentially tied with off-price twin Ross (ROST 31.9%), far above Burlington (BURL 10.1%), and well ahead of the broadline value names (Target 13.1%, Dollar General 7.3%). Only asset-lighter Williams-Sonoma (WSM 42.1%) screens higher; Wayfair (W -374.7%) is loss-making and off-scale. A ~23-point ROIC-minus-WACC spread is the textbook Mauboussin justification for a premium multiple.
- Priced at fair value, not a discount: at ~\$151 the stock's segment-weighted, peer-implied fair value is ~\$154 (revenue-weighted) to ~\$155 (profit-weighted) — roughly 2-3% above spot. The three off-price segments (Marmaxx, Canada, International) each imply ~\$160 through the ROST/BURL lens; HomeGoods implies ~\$123 through the home-furnishings lens (WSM/W/RH), a modest drag that pulls the blend below the off-price read.
- The multiple is full but in line with the right peers: 19.9x EV/EBITDA is a touch below the off-price pair's 21.0x (-5.5%) and the Apparel Retail median (21.3x); 26.2x forward P/E is right on the off-price median (25.7x, +1.9%) and just under the sub-industry (26.4x); trailing 29.3x is below peers' 31.5x. The dividend yield (1.27%) is ~61% above the peer median but small in absolute terms — TJX returns cash mostly via buybacks.
- The off-price flywheel is the moat, and it is counter-cyclical: opportunistic closeout buying, a treasure-hunt assortment and rapid inventory turns let TJX convert other retailers' mistakes into margin. It is the trade-down beneficiary when consumers tighten and a share-taker from struggling department stores in any environment — the structural reason to credit the premium (Mauboussin: warranted multiple follows the ROIC-WACC spread and growth).
- Technically cool, not extended: unlike a momentum blow-off, TJX trades at RSI 39.6 with %B at 29, ~10.4% below its 52-week high (\$168.41) and just under its MA20/MA50 (~\$156) though still above a rising MA200 (\$152.9) with a golden cross intact — a mid-range, digesting setup rather than an overbought one.

- The scenario models disagree, which is the finding: the 12-month Monte-Carlo median is ~\$185 (5-95% span ~\$138-\$248, ~87% chance above spot) on the back of a ~31% one-year run, while the driftless null sits near today's price; the weekly peer-driven ADL(1,1) drifts down to ~\$144 over 26 weeks as its peer basket softens, ETS trends up to ~\$160-163 and ARIMA stays flat at ~\$151. Momentum/drift bullish, mean-reversion mildly bearish — treat as scenario anchors, not forecasts.
- Fortress balance sheet and a returns-justified multiple: TJX is net cash on a financial-debt basis ($-0.39\times$ net-debt/EBITDA ex-leases, $\sim 100\times$ interest coverage, $\sim 89\%$ FCF conversion) — only Ross rivals it, while RH and Wayfair are far more levered. The lease-adjusted ROIC ($\sim 34\%$) and the Mauboussin warranted-multiple math ($\sim 26\times$ forward is consistent with $\sim 5\%$ durable growth given the ~ 23 -point ROIC-WACC spread) say the premium is earned, not stretched.

Confidence: MODERATE

WORKING PAPER

1 · Sector & industry trends

TJX sits in Consumer Discretionary's specialty-retail corner, but off-price is a category apart from the discretionary cycle that governs it. Where most apparel and home retailers order inventory months ahead on forecasts and get punished when demand or fashion shifts, off-price buys opportunistically — closeouts, cancelled orders, packaway and overproduction — after the miss has happened, at 20-60% discounts, and sells it through a no-frills, high-turn, treasure-hunt store. That inverts the usual retail risk: the channel feeds on the rest of retail's excess inventory, so a glut that is a headwind for brands and department stores is a supply tailwind for TJX, Ross and Burlington. Two forces dominate the backdrop into 2026. First, trade-down: as consumers feel squeezed, brand-name goods at value prices pull traffic, including a documented influx of higher-income shoppers, while traditional department stores (Macy's, Kohl's) keep losing their core customer to the off-price giants — a structural, not cyclical, share shift. Second, inventory availability: brands and retailers frontloading imports to beat tariffs, plus chronic overproduction, have kept the closeout pipeline full, and the off-price majors have so far offset tariff cost

pressure through vigilant buying and pricing (TJX said it neutralized tariff impact; Burlington's CEO 'rolled right over' them). The one genuine sector risk runs the other way: if brands permanently tighten supply chains to minimize excess, the raw material of the model gets scarcer.

Trend	Direction	Read for TJX
Consumer trade-down to value	▲ Tailwind	Squeezed and even high-income shoppers migrate to brand-names-at-value; off-price is the classic downturn winner
Department-store share loss	▲ Tailwind	Structural migration of the core customer from Macy's/Kohl's to off-price sustains multi-year comp and store growth
Excess-inventory / closeout availability	▲ Tailwind	Overproduction plus tariff-driven import frontloading keeps the opportunistic buying pipeline full
Tariffs on imported goods	◆ Mixed	Raise landed costs but off-price has offset via buying/pricing; net a wash so far and a relative advantage vs full-price
Brand supply-chain tightening / DTC	▼ Headwind	If brands durably minimize excess and sell direct, the closeout pipeline that feeds off-price could thin
E-commerce penetration	◆ Neutral	The treasure-hunt, in-store discovery model is hard to replicate online; TJX has deprioritized its own e-commerce

Table 1 — the trends shaping TJX's markets, and what each means for the company.

2 · What is driving TJX

TJX's stock is driven by three levers: comps, merchandise margin, and store growth — all powered by one flywheel. Scale is the moat: at ~\$60B in FY2026 net sales TJX is larger than Ross and Burlington combined, and that buying scale (over 21,000 vendors, ~1,300 buyers) means it can absorb whatever excess the market produces, on the best terms, into ~5,000 stores across nine countries. The engine is Marmaxx — T.J. Maxx, Marshalls and Sierra in the US — which at ~61% of revenue and ~68% of segment profit runs a ~15% segment margin and is comping mid-single-digits; it is the highest-return piece and the reason the blend leans off-price. HomeGoods (~17% of sales) is the second growth vector, its margin recovering to ~12% after exiting a money-losing e-commerce operation, and it competes in an underpenetrated off-price home category. Internationally, TJX Canada (Winners/HomeSense) is a mature, high-teens-margin business, while TJX International (TK Maxx/HomeSense in Europe and Australia) is the margin laggard at ~7% but improving and the longest runway for unit growth — plus optionality via minority stakes in Familia (Russia, now impaired/exited context) and Brands For Less in the Middle East. Near term the story

is execution against a supportive macro: consolidated comps up ~5%, pretax margin expanding, and a capital-return machine (a ~13% dividend increase and \$2.5-2.75B of buybacks guided for FY27) that steadily shrinks the share count. The growth algorithm — new stores x positive comps x margin expansion x buybacks — has compounded high-teens EPS for years; the swing factor is whether the closeout-supply and trade-down tailwinds persist.

2b · Leading-indicator tracker

The operating dashboard points up. Consolidated comps ran +5% in FY2026 and accelerated to +6% in Q1 FY2027, Marmaxx's segment margin expanded to 15.1%, and Q1 FY27 pretax margin rose ~170bps to 12.0% with EPS up 29%. Crucially for the model, inventory availability is ample (total inventory +12% YoY, per-store +8%), tariff costs were fully offset in Q3, and the department-store share donors keep comping negative — the trade-down and closeout-supply tailwinds are live, not hypothetical. (Department-store share loss is approximated from public Macy's/Kohl's/Dillard's comps; a precise share panel would require paid data.)

Indicator	Latest	Prior	Read	Source
Consolidated comp sales — FY2026	+5%	+6% (FY2025)	Above long-term algorithm; broad-based across divisions	TJX Q4/FY26 release
Consolidated comp sales — Q1 FY2027	+6%	+3% (Q1 FY26)	Momentum accelerating into FY27	TJX Q1 FY27 release
Marmaxx segment margin — FY2026	15.1%	14.1% (FY25)	Crown-jewel margin expanding on merch margin + shrink	TJX FY26 10-K
Q1 FY2027 pretax margin	12.0%	10.3% (Q1 FY26)	+170bps; margin expansion continuing	TJX Q1 FY27 release
Q1 FY2027 diluted EPS	\$1.19	\$0.92 (Q1 FY26)	+29% YoY, above plan	TJX Q1 FY27 release
Total inventory growth (YoY)	+12%	n/a	Ample availability; pipeline full	Retail Dive (2026)
Per-store inventory growth (YoY)	+8%	n/a	Fresh goods flowing to stores	Retail Dive (2026)
Tariff cost impact (Q3 FY26)	Fully offset	n/a	Buying/pricing neutralized tariff pressure	TJX CFO commentary / Retail Dive

Department-store
comps (share donors)

Negative

Negative

Macy's/Kohl's core customer
migrating to off-price

The Robin Report /
Retail Dive

Table 2 — operating KPIs with latest readings. TJX quarterly earnings releases (investor.tjx.com) and FY2026 10-K; channel/inventory and department-store data from Retail Dive and The Robin Report (2025-2026).

3 · Valuation — where TJX should trade

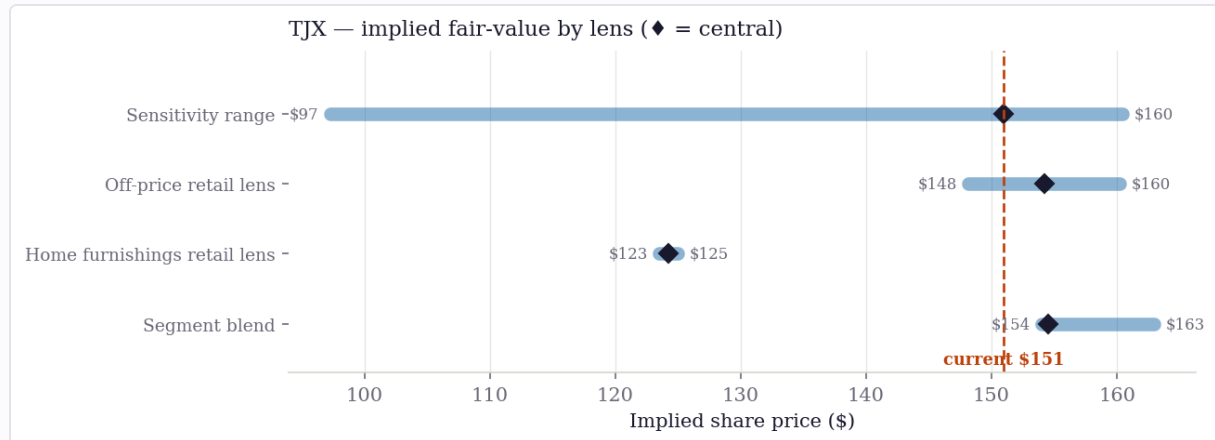


Fig. 1. Implied fair-value by lens; dashed line = current \$151.

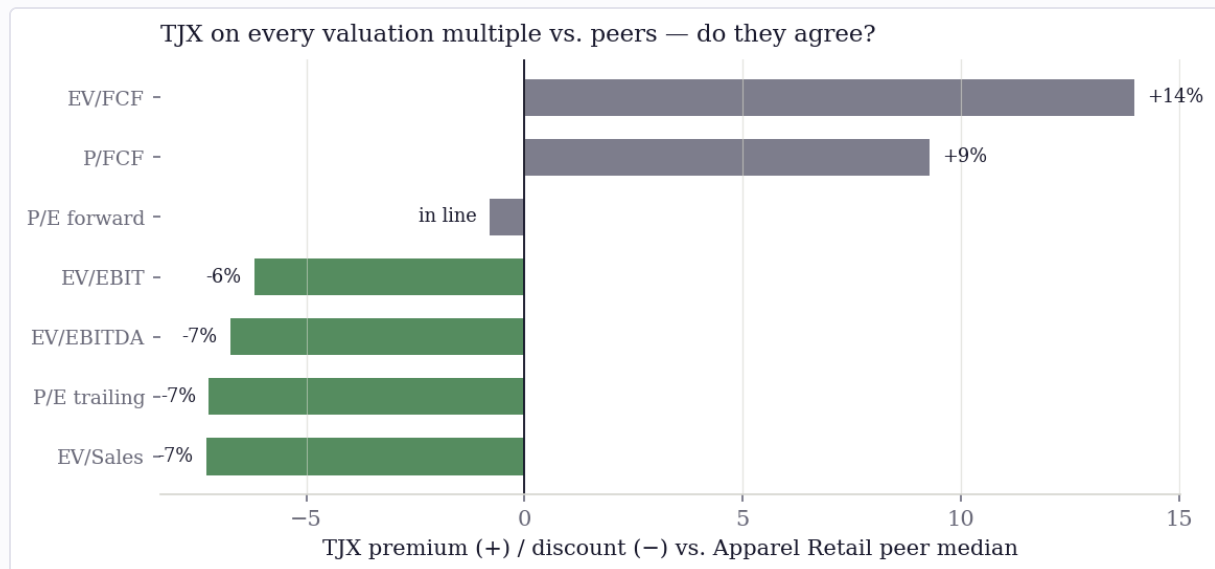


Fig. 2. TJX premium/discount to its subsector peers by valuation multiple.

Metric	TJX	Peer median	Read
P/E trailing	29.26	31.54	-7% cheap
P/E forward	26.21	26.42	in line
EV/EBITDA	19.85	21.28	-7% cheap
EV/EBIT	23.79	25.36	-6% cheap

EV/Sales	2.85	3.07	-7% cheap
P/FCF	38.66	35.38	in line
EV/FCF	40.65	35.67	in line
Dividend yield	1.27	0.79	+61% expensive

Table 3 — TJX on every multiple vs. Apparel Retail peer median.

Lens	EV/EBITDA	Fwd P/E	Implied \$ (EV/EBITDA)	Implied \$ (Fwd P/E)
Off-price retail	-6%	+2%	\$160	\$148
Home furnishings retail	+21%	+21%	\$123	\$125

Table 4 — segment-relevant peer lenses, premium/discount and implied prices.

Segment-weighted blend: **revenue-weighted \$154, profit-weighted \$155.**

3a · Sensitivity

EBITDA ↓ / mult →	16.4×	19.0×	19.9×	21.5×
\$5.6B	\$75	\$89	\$93	\$101
\$7.1B	\$98	\$114	\$120	\$130
\$8.6B	\$120	\$140	\$147	\$160
\$8.8B	\$123	\$144	\$151	\$163
\$9.5B	\$133	\$156	\$163	\$177

Table 5 — implied price = (EV/EBITDA × EBITDA – net debt) ÷ shares. Base \$151.

3b · Return on invested capital

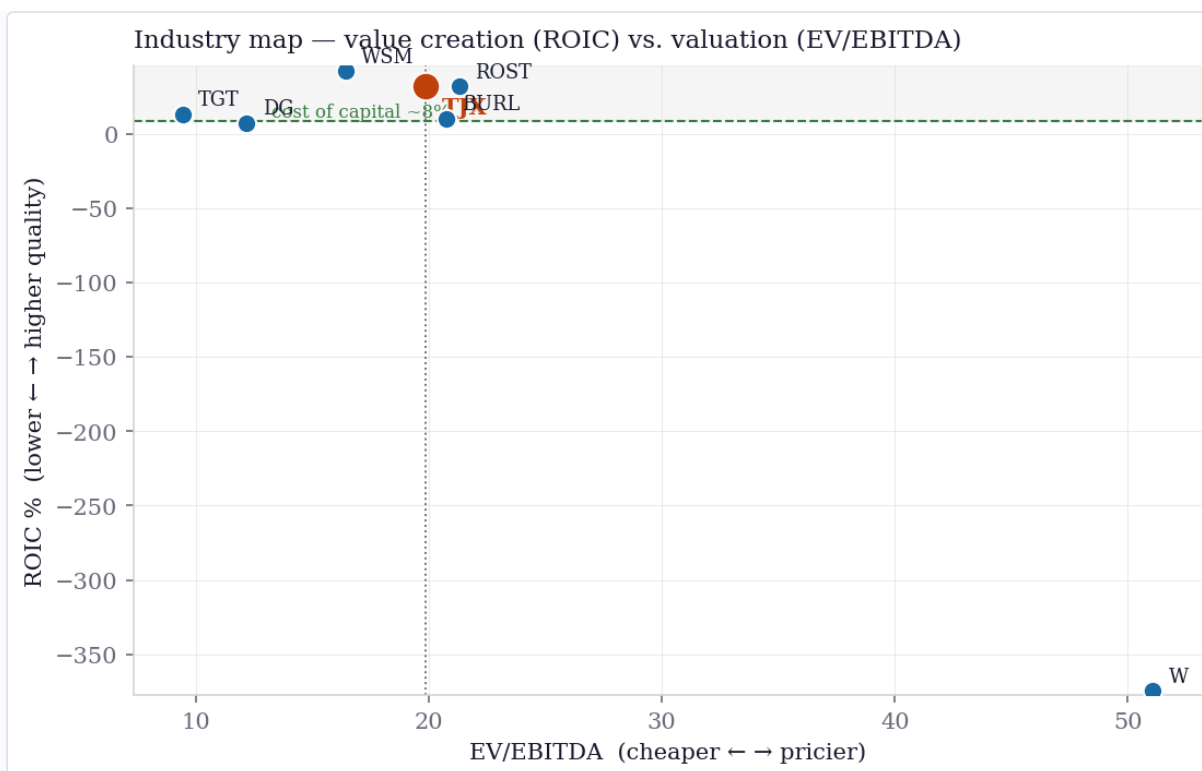


Fig. 3. Value creation (ROIC) vs. valuation (EV/EBITDA). TJX highlighted.

TJX's ROIC is **31.8%** vs. an assumed cost of capital of ~8% — above (value-creating). Per Mauboussin (Morgan Stanley, *Valuation Multiples*), the warranted multiple is a function of the ROIC-vs-WACC spread and growth; a low-return business should trade at a modest multiple until returns improve.

Lease-adjusted ROIC bridge. Because the pipeline's 31.8% ROIC already runs the ~\$10.6B of capitalized operating leases through the invested-capital denominator, TJX's lease-heavy store base makes the return more impressive, not less. Strip the leases out entirely (financial capital only) and ROIC is ~81%; capitalize the leases and add the implied lease-interest back to NOPAT (the economically correct treatment) and it is ~34%; the pipeline's lease-in-denominator-only convention gives 31.8%. All three sit 23–73 points above the ~8.5% cost of capital — the value-creation spread survives any reasonable lease treatment.

Basis	Invested capital	ROIC
Ex-lease (financial capital only)	\$6.83B	81.3%
Lease-adjusted (capitalize leases + interest add-back)	\$17.45B	34.1%
Pipeline headline (lease in denominator only)	\$17.45B	31.8%

Table 6 — ROIC under three invested-capital treatments. Ex-lease (financial-capital) ROIC ignores the leased store base and is flattered; the lease-adjusted ROIC capitalizes the ~\$11B lease liability into invested capital and adds the implied lease

interest back to NOPAT (the economically correct read); the pipeline headline puts the lease in the denominator only (slightly conservative). All three sit far above the ~8% cost of capital.

Mauboussin warranted multiple. The key-value-driver formula reconciles the premium multiple to the returns. With a 31.8% ROIC against an 8.5% WACC, the warranted forward P/E climbs from ~19x at 4% sustainable growth to ~24x at 5% and ~33x at 6%. TJX's actual ~26x forward multiple is consistent with ~5.3% durable growth — squarely within reach for a mid-single-digit comp grower that also steadily shrinks its share count — so the market is not obviously overpaying: the premium is roughly what a ~23-point ROIC-minus-WACC spread warrants.

Sustainable growth g	Warranted fwd P/E
3.0%	16.5×
4.0%	19.4×
5.0%	24.1×
6.0%	32.5×
7.0%	52.0×

Table 7 — warranted forward P/E = $(1 - g/\text{ROIC})/(\text{WACC} - g)$ at ROIC 31.8% and WACC 8.5%. Actual forward P/E 26.2× ≈ 5.3% implied durable growth.

3d · Segment sum-of-parts (reported 10-K segment profit)

Valuing each reported FY2026 segment on its lens EV/EBIT multiple, rather than a shared EV/EBITDA blend, puts the true sum-of-parts at ~\$168 — above both the \$3 EV/EBITDA blend (~\$155) and spot (~\$151). Marmaxx alone is worth ~\$138/share (a ~\$153B enterprise on \$5.5B of segment profit at the off-price ~27.7x EV/EBIT), with HomeGoods (~\$22), Canada (~\$19) and International (~\$14) layering on before capitalized corporate overhead (~\$19B) and lease-inclusive net debt (~\$9B) bring it back. The gap to the EV/EBITDA blend is largely a multiple artifact — off-price peers carry a rich ~28x EV/EBIT — so the two are best read together as a ~\$155–168 fair-value band that brackets spot to the upside and reconciles the \$3 blend.

Segment	Lens	Seg. profit	EV/EBIT	Segment EV	Implied \$/sh
Marmaxx	Off-price retail	\$5.528B	27.67×	\$152.96B	\$138.0
HomeGoods	Home furnishings retail	\$1.246B	19.13×	\$23.84B	\$22.0

TJX International	Off-price retail	\$0.559B	27.67×	\$15.47B	\$14.0
TJX Canada	Off-price retail	\$0.757B	27.67×	\$20.95B	\$19.0
Gross segment EV				\$213.21B	
less: corporate overhead (× 26.35×)				−\$18.9B	
less: net debt (lease-inclusive)				−\$8.6B	
Equity value → implied price				\$185.71B	\$168.0

Table 8 — each reported segment valued on its lens EV/EBIT multiple. Each reported segment's FY2026 segment profit (~operating EBIT) is valued at the median EV/EBIT of its lens peers (yfinance); unallocated general corporate expense is capitalized at the profit-weighted blended multiple and subtracted; lease-inclusive net debt is deducted (peer EV and target net debt are both ASC-842 lease-inclusive, so the bases are consistent).

SOTP implied **\$168.0** vs the §3 EV/EBITDA blend (\$154 rev / \$155 profit) and spot \$151 — the sum-of-parts sits above the blend because off-price peers carry a high EV/EBIT multiple.

Source. The TJX Companies FY2026 Form 10-K (fiscal year ended January 31, 2026), SEC EDGAR CIK 0000109198. Segment profit = pre-corporate-overhead segment operating profit as reported in the segment footnote / Q4-FY26 earnings release.

3e · Comp × merchandise-margin scenarios → EBITDA & buyback capacity

Flowing comp and merchandise-margin assumptions to EBITDA shows how resilient the capital-return engine is. Even the bear case (comp −1%, margin −75bps) still throws off ~\$8.3B of EBITDA and ~\$4.7B of free cash flow — enough to fund the ~\$2.9B of buybacks in the guided FY27 range after the dividend — while the base (+3% comp) and bull (+5% comp, +50bps) cases lift buyback capacity to ~\$3.3–3.6B. The takeaway: the buyback is defended across a wide band of operating outcomes, so valuation/multiple contraction, not capital-return risk, is the true swing factor.

Scenario	Comp	Margin Δ	Revenue	EBITDA margin	EBITDA	FCF	Buyback capacity
Bear — supply-chain tightening / weak consumer	−1%	−75bps	\$61.0B	13.6%	\$8.26B	\$4.71B	\$2.87B

Base — steady trade-down	+3%	+0bps	\$63.4B	14.3%	\$9.06B	\$5.17B	\$3.32B
Bull — full pipeline + trade-down	+5%	+50bps	\$64.6B	14.8%	\$9.56B	\$5.45B	\$3.61B

Table 9 — scenario EBITDA and implied buyback capacity. FY2026 FCF ~\$4.92B vs EBITDA ~\$8.62B => ~57% of EBITDA converts to FCF; buyback capacity = FCF - dividend.

Source. Base revenue/EBITDA from yfinance FY2026 statements; comp & margin deltas are analyst scenario assumptions (not company guidance).

4 · Headwinds

The core risk is valuation, not the business. At ~26x forward and ~29x trailing earnings TJX prices in continued execution with little margin of safety, which is exactly why the 6/25/2026 -6% day happened on valuation and insider-selling worries (Chair Meyrowitz and CEO Herrman both trimming) rather than any operational miss — a rich multiple magnifies any growth wobble. The subtler structural threat is to the model's raw material: if brands durably tighten supply chains, lean into DTC and minimize the overproduction that off-price feeds on, the closeout pipeline could thin over time. Tariffs are a persistent cost overhang that the company has so far offset but that could bite if rates step up faster than buying/pricing can absorb. The International segment remains a genuine margin drag (~7% vs Marmaxx's ~15%) and carries FX and European consumer risk. The model is lease-heavy — ~5,000 leased stores mean a large right-of-use asset base and fixed occupancy cost with real operating leverage, so a comp downturn would flow hard to EBITDA. Competition for the same closeout goods and the same trade-down shopper from a resurgent Ross and a fast-growing Burlington is intensifying. And while off-price is counter-cyclical on demand, a genuine consumer recession still pressures traffic and average basket. Finally, the models split: the peer-driven ADL and a driftless random walk both sit at or below spot, so the bullish case leans heavily on drift and trend continuing.

5 · Technical read

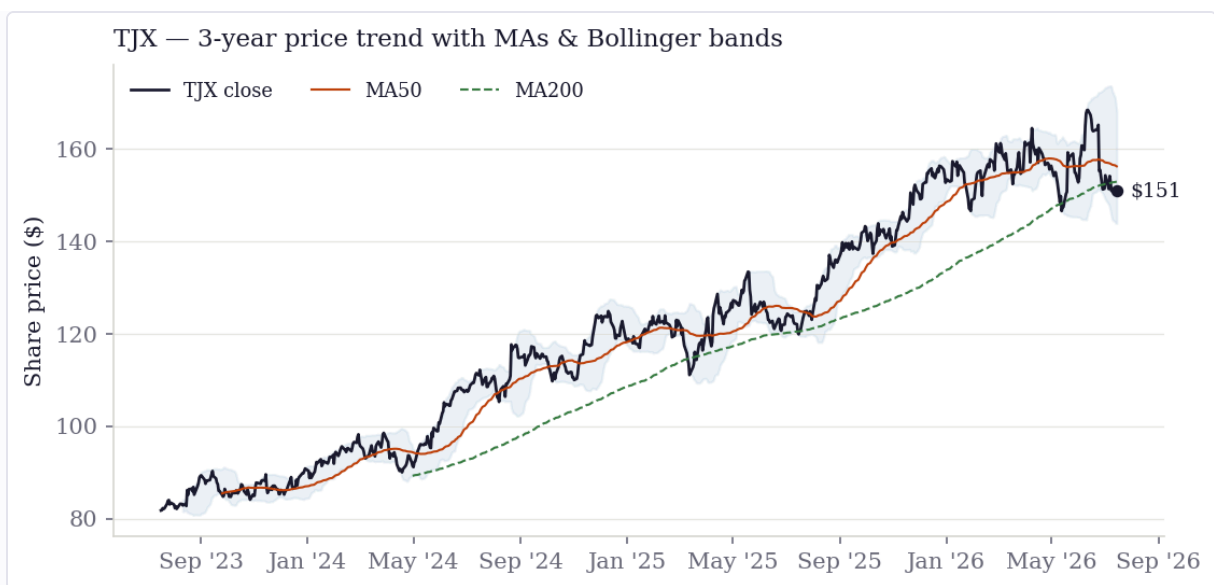


Fig. 4. 3-year price with MA50/200 & Bollinger bands.

Indicator	Reading
MA50 / MA200	\$156.21 / \$152.92 — golden cross
RSI(14)	39.6
Bollinger %B	29% (upper \$168.04)
52-week range	\$119.88–\$168.41 (-10% off high)
Realized vol (90d, ann.)	25.1%

Table 10 — technical dashboard.

6 · Price forecast — weekly ETS, ARIMA & ADL (130-week window, 26-week horizon)

Weekly re-basing. Section 6 runs at weekly frequency over the trailing ~2.5 years (130 weeks) with a 26-week (~6-month) horizon, so all three models are estimated on the same window and are internally consistent. Weekly ADF $p \approx 0.798$ (near random walk); weekly return $\sigma \approx 2.47\%$.

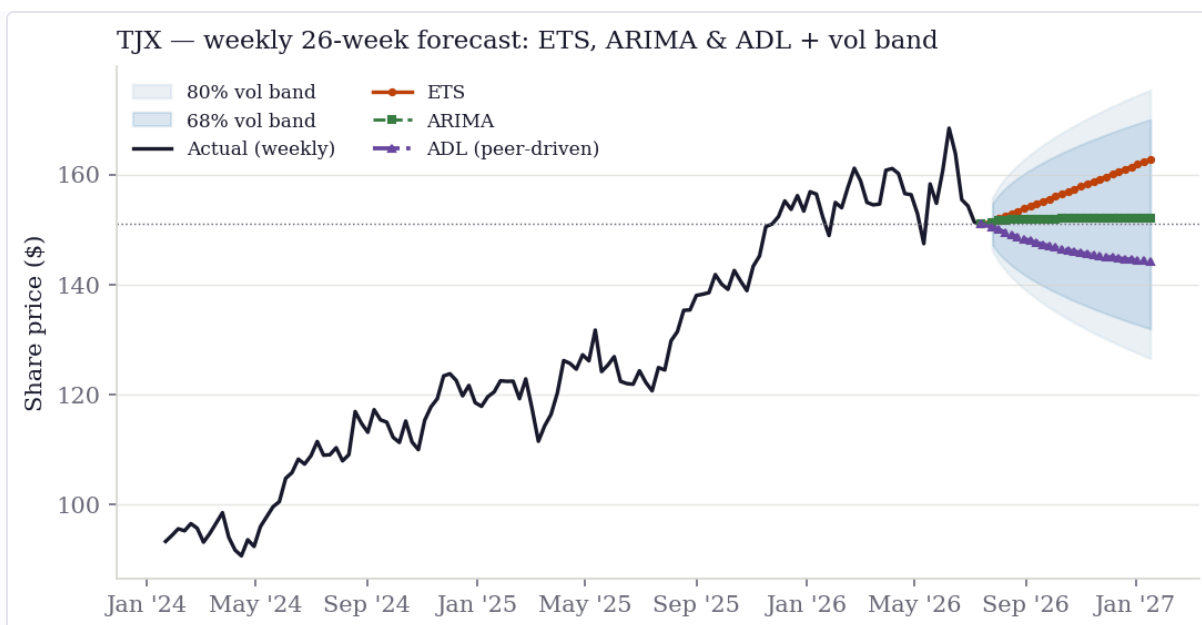


Fig. 5. Weekly 26-week forecast — ETS (trend), ARIMA (near-flat) and the ADL (peer-driven) — with a volatility-implied band.

Horizon	ETS	ARIMA	ADL	68% vol band
~1 mo (4 wk)	\$153	\$152	\$149	\$144–\$158
~3 mo (13 wk)	\$157	\$152	\$146	\$138–\$164
~6 mo (26 wk)	\$163	\$152	\$144	\$132–\$170

Table 11 — weekly point forecasts (ETS, ARIMA, ADL) and 68% volatility band. Scenario anchors, not predictions.

6a · ADL model — a peer-driven forecast

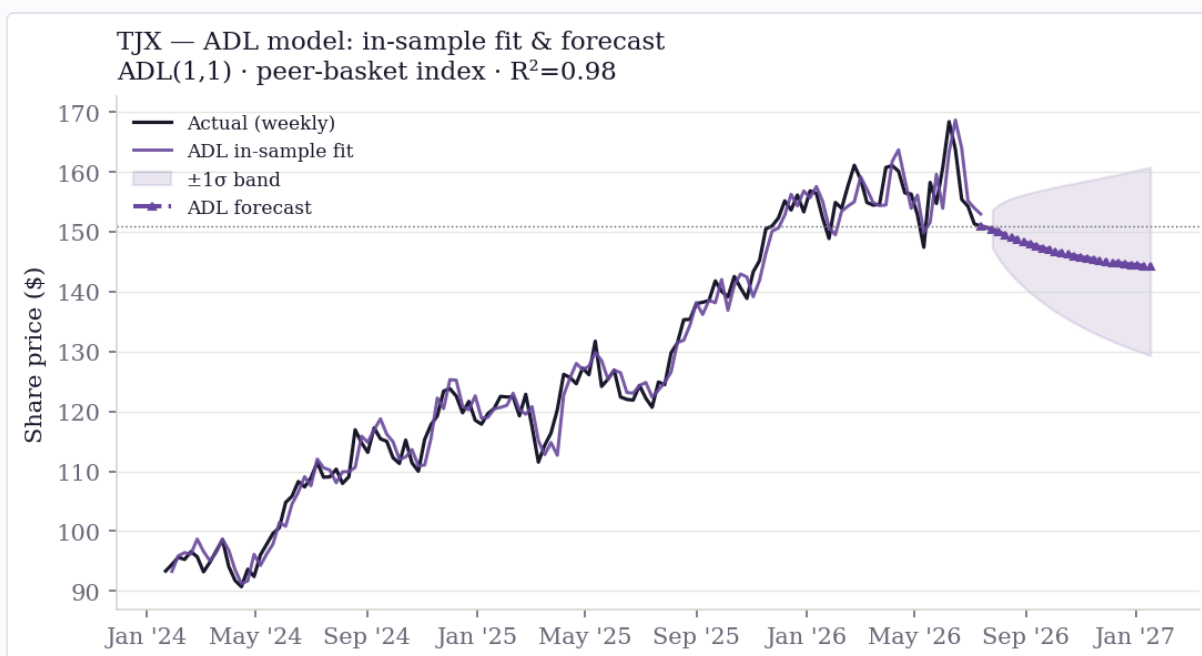


Fig. 6. ADL in-sample fit (purple) vs actual (black) and the 26-week forward path with a $\pm 1\sigma$ band. The peer basket co-drives the price level.

Specification. ADL(1,1) — weekly log price regressed on 1 own lag(s) plus distributed lags (0..1) of the **peer-basket index**. Order chosen by AIC (grid search over exog sets (peer, SPY, department-store basket, FRED macro, and combinations) x p in 1..4 x q in 0..2, min AIC); AIC -619.7, BIC -608.2, in-sample R^2 0.984. Peer basket (5 names): BURL, RH, ROST, W, WSM. Multi-step exogenous inputs: each exogenous series projected forward by its own fitted AR(1) on log-levels. Interval is $\pm 1\sigma$ (residual $\sigma=0.0213$ in log space) scaled by $\sqrt{\text{horizon}}$ — approximate; it omits parameter and exogenous-projection uncertainty.

Reading the ADL. The peer-driven ADL(1,1) is estimated on weekly data over the trailing 2.5 years (130 weeks) and forecasts 26 weeks out. It regresses TJX's weekly log price on one own lag plus the current and one-week-lagged level of a peer-basket index built from the five lens peers (BURL, RH, ROST, W, WSM); an AIC grid search over {peer, SPY, peer+SPY} x p in 1-4 x q in 0-2 selected the peer-basket-only ADL(1,1), with an in-sample R^2 of 0.984 (residual sigma $\sim 2.1\%$ /week) — TJX co-moves tightly with the off-price/home complex. Multi-step forecasting requires future values of that basket, and the explicit assumption is that each exogenous series is projected forward by its own fitted AR(1) on log-levels — i.e. the peer complex is carried forward on its recent drift, which is currently mildly downward. The ADL therefore answers 'where does TJX drift if the off-price/home peer group behaves as it recently has,' not 'what will comps or closeout supply do.' It lands at $\sim \$144$ in 26 weeks (band $\sim \$129$ - $\$161$), below the trend-following weekly ETS ($\sim \$163$) and the near-flat weekly ARIMA ($\sim \$152$), and below the $\sim \$151$ spot — a mild mean-reversion signal driven by the softening peer basket. Weekly ADF $p \sim 0.80$ (and the daily-series ADF $p \sim 0.98$) confirm the series is barely distinguishable from a random walk, so treat these as scenario anchors, not predictions. Note the models frame a genuine tension: the ADL/ARIMA say flat-to-down toward peers while the 12-month Monte-Carlo median ($\sim \$185$) and daily ETS lean up on the stock's $\sim 31\%$ trailing-year drift. The enriched Section 6 also grid-searches a department-store basket (M/KSS/DDS) and FRED macro series (retail sales RSAFS, consumer sentiment UMCSENT) as alternative exogenous drivers; the direct peer basket still wins on AIC, and a rolling 1-step out-of-sample backtest gives the ADL an RMSE of $\sim \$4.14$ vs $\sim \$4.52$ for a random walk (ratio ~ 0.92) — a modest but real edge over the naive benchmark. Holding the peer basket flat instead of on its AR(1) drift lifts the 26-week endpoint from $\sim \$144$ to $\sim \$148$, bracketing the exogenous-path assumption.

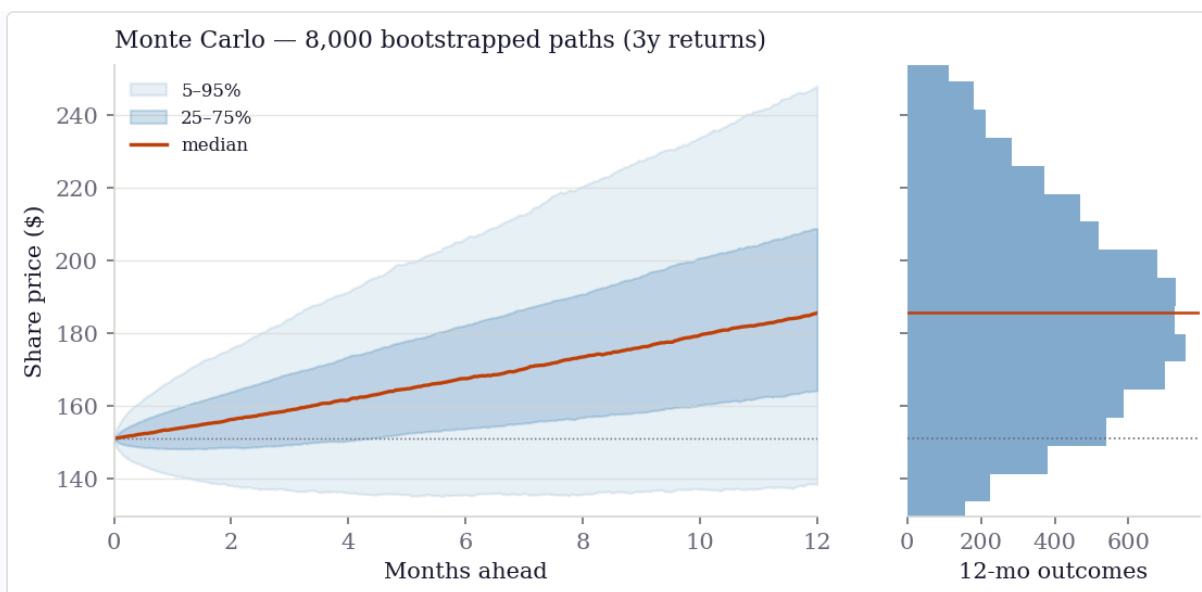


Fig. 7. 10k bootstrapped paths + 12-month distribution.

Horizon	P5	P25	Median	P75	P95	P(>current)
6mo	\$136	\$154	\$167	\$182	\$206	80%
12mo	\$138	\$164	\$185	\$209	\$248	87%

Table 12 — Monte Carlo percentiles (embeds recent drift; driftless null $\approx$ current price).

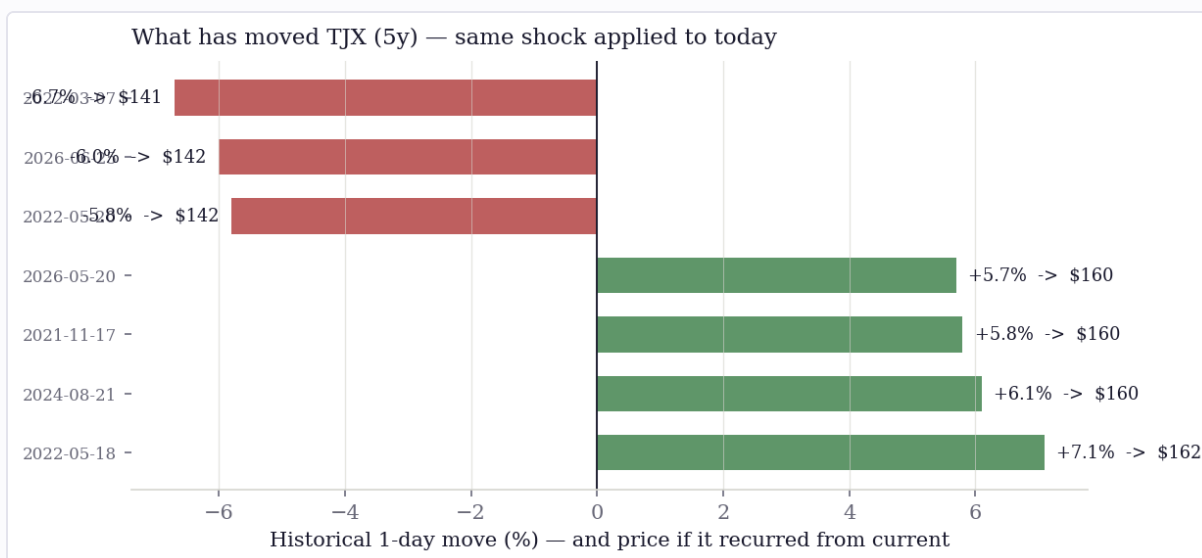


Fig. 8. TJX's largest single-day moves over the past 5 years and the price each would imply from today's \$151.

Date	1-day move	Likely catalyst	If repeated from \$151
2022-03-07	-6.7%	Market-wide selloff on the Russia/Ukraine oil-price shock; macro, not company-specific, -6.7%	\$141

2026-06-25	-6.0%	Valuation/insider-selling wobble — Chair Meyrowitz and CEO Herrman trimming stakes amid a rich ~26x+ multiple, -6.0%	\$142
2022-05-20	-5.8%	Broad retail growth scare (Walmart/Target margin warnings week); macro, -5.8%	\$142
2026-05-20	+5.7%	Q1 FY27 earnings beat — comps up, pretax margin and EPS above plan, +5.7%	\$160
2021-11-17	+5.8%	Q3 FY22 earnings beat — strong reopening comps, +5.8%	\$160
2024-08-21	+6.1%	Q2 FY25 earnings beat — comp and margin upside, +6.1%	\$160
2022-05-18	+7.1%	Q1 FY23 earnings beat — strong comps into a weak tape, +7.1%	\$162

Table 13 — the biggest TJX price events (5-year window) and their forward echo. TJX's biggest single-day moves cluster around its quarterly earnings prints (fiscal year ends late January/early February; the market-moving Q1 and Q3 reports land in May and November) plus occasional macro/valuation shocks. The +6-7% up days (5/18/2022, 11/17/2021, 8/21/2024, 5/20/2026) are earnings beats on strong comps; the down days mix macro selloffs (3/7/2022 Russia/Ukraine oil-shock week; 5/20/2022 the Walmart/Target margin-warning growth scare) with the recent 6/25/2026 valuation-and-insider-selling wobble. The recurrence prices assume the identical one-day move from today and are illustrative, not forecasts.

7a · Option-implied-vol Monte Carlo & earnings calendar

Rebuilding the Monte Carlo from option-implied volatility (ATM ~27% at a ~12-month expiry, from live Yahoo Finance option chains) rather than historical returns strips out the backward-looking drift. The driftless implied-vol cone centers the 12-month distribution at ~\$146 with a 5–95% span of ~\$93–\$226 and only a ~45% chance of finishing above spot — essentially symmetric around today's price. That is the honest contrast to the \$7 bootstrap median of ~\$185 (87% above spot): the bootstrap's bullishness is entirely the ~31% trailing-year drift it embeds. A market-calibrated, driftless read says the 12-month odds are closer to a coin-flip, with quarterly earnings (next: 2026-08-19) the scheduled volatility events and tariff headlines the main unscheduled ones.

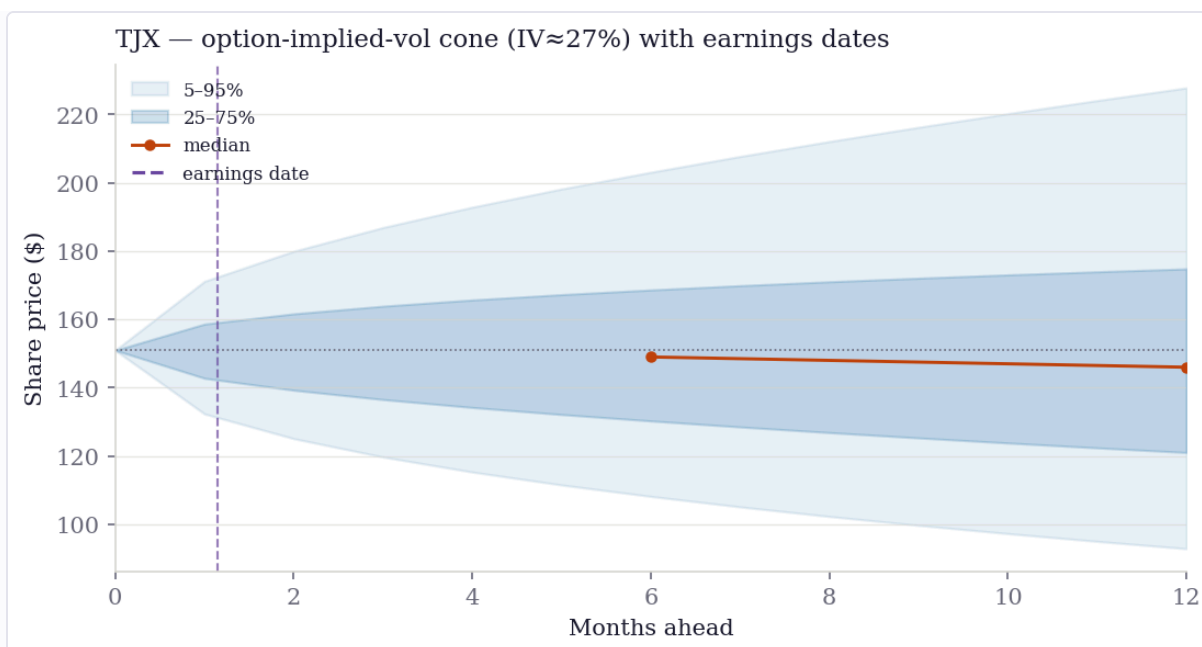


Fig. 9. Driftless lognormal price cone from ATM option-implied vol (~27.3% at ~12 months), with scheduled earnings dates marked.

Horizon	P5	P25	Median	P75	P95	P(>current)
6mo	\$108	\$130	\$149	\$169	\$203	47%
12mo	\$93	\$121	\$146	\$175	\$226	45%

Table 14 — driftless option-implied-vol percentiles (contrast §7 bootstrap MC, which embeds recent drift). IV source: Yahoo Finance option chain via yfinance (ATM implied vol, ~6-month and ~12-month expiries); delayed quotes.

Earnings overlay. Next report(s): 2026-08-19. Q1 ~mid-May · Q2 ~mid-August · Q3 ~mid-November · Q4/FY ~late-February. Earnings prints are TJX's largest scheduled volatility events; between them, tariff/trade headlines and monthly retail-sales prints are the main unscheduled catalysts. The IV cone above is a market-calibrated band; single-day earnings gaps (see §7 events) can exceed it.

8 · Competitive landscape

Off-price is a three-player oligopoly, and TJX is the clear leader. Its direct comps are Ross Stores (dd's/Ross Dress for Less, ~\$21B sales, US-only, the operational mirror at ROIC 31.9%) and Burlington (~\$11B, higher-growth, more leveraged at ROIC 10.1%, aggressively adding stores). TJX's edge is scale and diversification: it is roughly the size of Ross and Burlington combined, spans apparel and home, operates in nine countries, and has the deepest vendor and buying organization — advantages that compound in a business where access to merchandise is the constraint. Against Ross, TJX is broader (home, international, higher price points) and higher-margin at the corporate level; against Burlington, TJX is far larger and more profitable but

grows units more slowly off a bigger base. The strategic prize is the department-store customer: Macy's, Kohl's, Nordstrom and the mid-tier malls are the share donors, and off-price collectively keeps taking that traffic. On the home side, HomeGoods competes with Williams-Sonoma (a far higher-margin, aspirational vertical at ROIC 42.1%), Wayfair (online, loss-making, W -374.7%) and RH (luxury), but on an off-price value proposition none of them run. The read-through: TJX is not fighting for survival in a declining category — it is the scaled leader of the one apparel/home format that is structurally gaining share, defending that lead against two capable off-price rivals and its own premium valuation.

9 · SWOT

STRENGTHS

- Best-in-class returns: ROIC 31.8% vs ~8.5% WACC, a ~23-point value-creation spread sustained for years
- Scale and buying moat: larger than Ross and Burlington combined, ~21,000 vendors, ~1,300 buyers, ~5,000 stores in 9 countries
- Counter-cyclical, treasure-hunt flywheel — opportunistic closeout buying feeds on the rest of retail's excess inventory
- Marmaxx crown jewel (~68% of profit, ~15% margin) plus a compounding capital-return machine (dividend +13%, \$2.5-2.75B buyback guided)

WEAKNESSES

- Full valuation: ~26x forward / ~29x trailing P/E leaves little margin of safety
- International segment margin drag (~7% vs Marmaxx ~15%) with FX and European consumer exposure
- Lease-heavy model: ~5,000 leased stores create fixed occupancy cost and operating leverage in a downturn
- Small absolute dividend yield (1.27%); returns skew to buybacks, less of an income cushion

OPPORTUNITIES

- Continued department-store share capture as Macy's/Kohl's cede the core customer
- HomeGoods and International unit growth — the longest runways off a lower base
- Trade-down cycle and tariff-driven excess inventory keeping the closeout pipeline full
- High-income shopper adoption broadening the customer base beyond value-seekers

THREATS

- Brand supply-chain tightening / DTC that thins the closeout pipeline the model depends on
- Escalating tariffs outrunning the ability to offset via buying and pricing
- Intensifying competition from a strong Ross and fast-growing Burlington for goods and shoppers
- Multiple contraction / valuation risk on any comp or margin deceleration; a genuine consumer recession pressuring traffic

10 · Company financial health

TJX runs a fortress balance sheet. On a financial-debt basis — stripping the ~\$10.6B of capitalized operating leases out of yfinance's ~\$13.5B 'total debt' — it is net cash: ~\$6.2B of cash against ~\$2.9B of senior notes, a $-0.39\times$ net-debt/EBITDA versus a $+0.65\times$ peer median, with interest covered $\sim 100\times$. It converts $\sim 89\%$ of net income to free cash flow (8.1% FCF margin) and returns $\sim 79\%$ of earnings through buybacks and dividends. Only Ross screens as comparably strong (also net cash ex-lease, $\sim 76\times$ coverage); Williams-Sonoma is debt-free but far smaller; Burlington (3.7x lease-inclusive leverage) and especially RH (7.2x) and loss-making Wayfair (23.5x, negative interest coverage) are materially weaker. TJX's lease-inclusive $0.84\times$ net-debt/EBITDA looks levered only because the store base is rented rather than owned — the ex-lease read is the true financial-risk picture, and it is pristine.

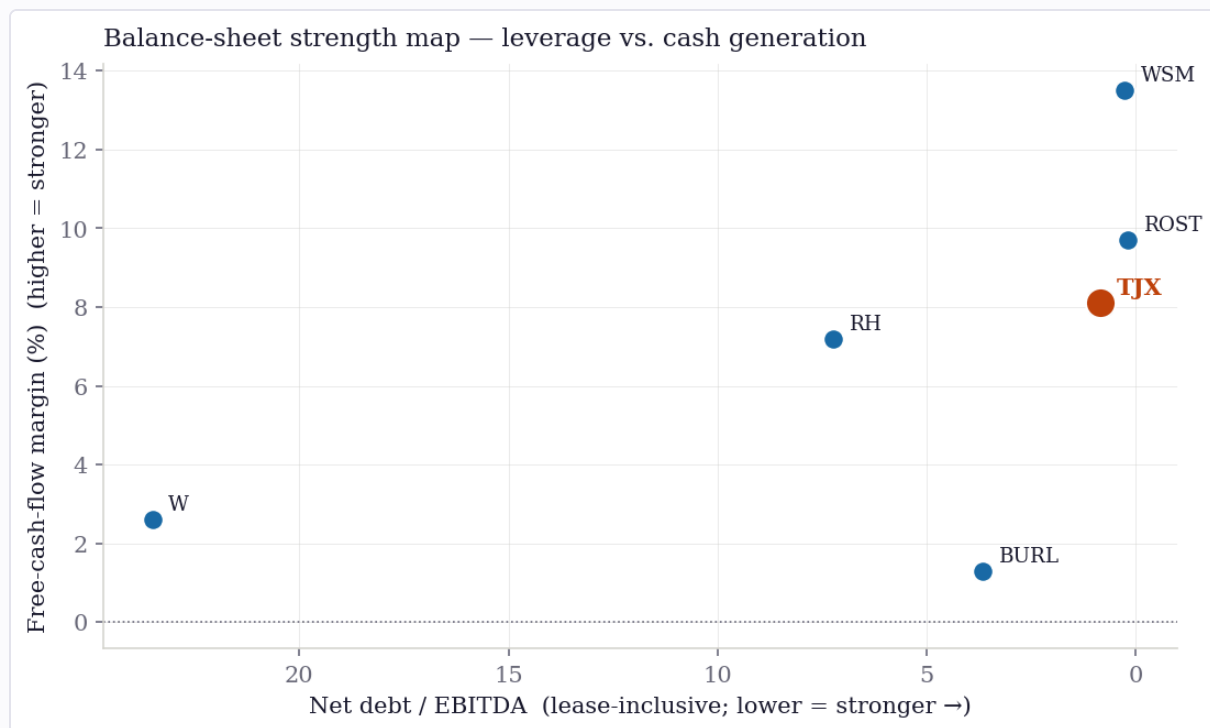


Fig. 10. Balance-sheet strength map — net debt/EBITDA (lease-inclusive) vs FCF margin; TJX highlighted.

Company	Current	Quick	Cash	Fin. debt	Leases	ND/EBITDA (incl lease)	ND/EBITDA (ex-lease)	D/E	Int. cov
TJX TJX Companies	1.14	0.59	\$6.23B	\$2.87B	\$10.62B	0.84×	-0.39×	1.32	99.6×
BURL BURL	1.23	0.65	\$1.23B	\$2.08B	\$3.92B	3.66×	0.65×	3.32	12.5×
RH RH	1.19	0.31	\$0.04B	\$2.41B	\$1.56B	7.23×	4.36×	65.5	1.7×
ROST Ross	1.58	1.04	\$4.59B	\$1.52B	\$3.69B	0.18×	-0.91×	0.84	75.9×

Stores									
W W	0.94	0.91	\$1.48B	\$3.27B	\$1.02B	23.51×	14.97×	-1.54	-1.6×
WSM									
Williams-Sonoma, Inc.	1.39	0.64	\$1.02B	\$0.0B	\$1.46B	0.27×	-0.62×	0.7	759.1×

Table 15 — liquidity & leverage vs peers. yfinance 'Total Debt' capitalizes operating-lease obligations (ASC 842); 'financial_debt' strips the reported lease liability to isolate borrowed debt. For lease-heavy retailers the lease-inclusive net-debt/EBITDA is the conservative comparison; the ex-lease figure shows true balance-sheet borrowing (often net cash).

Company	OCF	Capex	FCF	FCF margin	FCF conv.	Cash returned	Payout %
TJX TJX Companies	\$6.87B	\$1.96B	\$4.92B	8.1%	89.0%	\$4.36B	79.0%
BURL BURL	\$1.23B	\$1.08B	\$0.15B	1.3%	24.0%	\$0.28B	46.0%
RH RH	\$0.45B	\$0.2B	\$0.25B	7.2%	200.0%	—	—
ROST Ross Stores	\$3.03B	\$0.82B	\$2.21B	9.7%	103.0%	\$1.66B	77.0%
W W	\$0.53B	\$0.2B	\$0.33B	2.6%	-105.0%	—	—
WSM Williams-Sonoma, Inc.	\$1.31B	\$0.26B	\$1.06B	13.5%	97.0%	\$1.17B	108.0%

Table 16 — cash generation & capital return vs peers.

Data source. Yahoo Finance financial statements via yfinance (most recent fiscal year), pulled as-of run date

11 · Pairs trades to watch

TJX's tight co-movement with the off-price complex makes relative-value cleaner than an outright bet (illustrative, not recommendations). Long TJX / Short BURL expresses 'own the quality leader': TJX earns a 31.8% ROIC versus Burlington's 10.1% yet trades at a comparable-to-cheaper forward multiple, so the pair harvests the quality gap if Burlington's aggressive store growth disappoints — the risk is that Burlington's smaller base compounds faster off the same tailwinds. Long TJX / Short ROST is the near-arbitrage 'twin' trade: the two run nearly identical ROIC (31.8% vs 31.9%) and business models, so the spread isolates TJX's diversification (home, international, higher price points) against Ross's US-only apparel focus and any relative-multiple gap. Long TJX / Short a department store (M or KSS) is the

structural share-shift trade — long the taker, short the donor — the cleanest expression of the off-price-vs-legacy-retail thesis. On the home side, Long TJX / Short W pairs a cash-generative, 32%-ROIC compounder against loss-making Wayfair as an off-price-vs-online-home relative bet. Entry note: unlike a stretched momentum name, TJX is technically mid-range (RSI 39.6, %B 29, ~10% off its high and just under its MA20/50), so the long leg does not require waiting for a pullback — though the peer-driven ADL drifting toward ~\$144 argues for patience or scaling in, and the bullish Monte-Carlo median (~\$185) leans on drift persisting.

12 · Next steps

- Build a bottom-up store-economics model by banner (store count, sales/sq ft, four-wall margin, new-store productivity and a maturation curve) to replace the top-down comp/margin scenarios with a driver-based EBITDA build.
- Construct an explicit TJX International margin bridge — decompose the ~7% segment margin vs Marmaxx's ~15% into scale, occupancy, FX, country mix and buying maturity, and model the path and timeline to convergence.
- Quantify tariff/sourcing exposure — map COGS by country of origin and model landed-cost sensitivity against the buying- and pricing-offset elasticity that has so far neutralized tariffs, to size the residual risk.
- Project the multi-year capital-return runway under the scenario FCF paths — buyback pace, share-count trajectory and an EPS-accretion bridge — to test how much of forward EPS growth is repurchase-driven.
- Add an inventory-shrink and supply-chain module — shrink has been a recent margin swing factor; track it alongside packaway-inventory economics, freight and store-wage inflation as the margin's leading edges.
- Extend the option analytics from a single ATM vol to the full implied surface — term structure and put skew — and calibrate a jump-diffusion Monte Carlo to the historical earnings-gap distribution for event-aware bands.

Scholarly references

The methods rest on an established literature — peer-multiple valuation & comparable-firm selection [1]–[4]; accounting/book-value valuation [5]–[6]; the diversification discount & sum-of-parts [7]–[8]; market efficiency, VAR/time-series and technical/Monte-Carlo methods [9]–[13].

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Provenance. PRISM deep-dive pipeline (deepdive.py + deepdive_report.py + deepdive_extras.py). Quant: sector-multiples engine + reconstructed statements (yfinance); forecast ETS/ARIMA + bootstrap Monte Carlo (statsmodels). Framework: Mauboussin, *Valuation Multiples*, Morgan Stanley IM. Content hash 6b3c94a55e420b98 · 2026-07-15. **Not investment advice.**